

SIPRA DAS



ALLIED FORCES: The UPA partners may support anti-inflationary measures but the government remains in a tight spot

Rs 1,17,540 crore between 2004-05 and 2007-08 and will spend Rs 49,400 crore in 2008-09. Not all the spending will go waste but lack of accountability is not helping the objective of inclusive growth either. The Planning Commission, which was supposed to align outlays with outcomes through a delivery mechanism, is yet to deliver on the promise. That UPA allies, worried about inflation, are unwilling to bet their seats on this expansionism is an eloquent testimony to its inefficacy.

If there is visible evidence of impact of any expenditure, it is in the pump-priming of agriculture. Procurement prices for rice have shot up from Rs 650 to Rs 850 per quintal and that of wheat from Rs 650 to Rs 1,000 per quintal. This ensured the record output of 227 million tonne this year but it has also taken prices to a new level. Agriculture Minister Sharad Pawar believes this was inevitable. "Making agriculture viable is critical to ensure food security."

The combination of investment in agriculture and plethora of sops in the rural sector has triggered growth in demand—just edible oil consumption has risen by 30 per cent—in rural areas. Growth and demand spurt in the rural economy may be good but it also fuels inflation, particularly when the flip side of demand creation, which is supply management, is ignored. The 6.7 per cent inflation that dented the Congress's prospects in assembly polls in 2007 was the result of poor demand estimation and supply management resulting in spiralling of prices.

This year the Government can paint rising crude prices as the villain. Indeed, UPA ministers can now be found quoting daily prices of crude. But inflation has been rising even before the June 8 fuel price hike on, what economists call, "inflationary expectations". That is euphemism for confidence in or lack of it in a regime's competency to manage the show. The spectacular circus that preceded the fuel price hike is emblematic of a team that is losing the plot. Thanks to the rising subsidy bill—fertiliser, petroleum and food—fiscal deficit is now estimated (with off and on budget items) to be 8 per cent of GDP. Add the loan waiver, expected sops for new voting segments and a large Pay Commission bill. The sum of the pieces could trigger inflationary expectations.

Couldn't UPA have taken mitigating steps—ranging from targeting subsidies to hiking fuel prices when inflation was low—when the going was good? Wouldn't accountability in expenditure bring more moolah into the kitty? Primary food articles account for 24.5 per cent of wholesale price index. Enabling investment in retail curbs wastage, brings down prices and helps consumers and food producers; yet for four years the Government has dilly-dallied on reforms and abetted profiteering middlemen. You could argue, all this is hindsight. But what about the road ahead? How much headroom does UPA have if crude prices touch \$200 per barrel?

Unlike Udipi restaurants which have shrunk the size of their idlis and soap makers who produce smaller cakes to manage costs, UPA can't shrink the size of its spend. And it has little room to spend more, unless revenue comes from higher growth. What are its options if growth falters due to rising inflation? As it dwells on the possibilities, UPA may well introspect on lost opportunities. A coalition that has laid so much faith in the electoral power of rural India must perhaps learn from an old rustic maxim: Repair the roof when the sun is shining.



"I am surprised at the way economic pundits like Chidambaram and Montek have been justifying inflation with high growth rate."

RAJNATH SINGH, BJP PRESIDENT